Indian Two-Wheeler Peer Benchmark — FY2022–26 (consolidated, ₹ crore) — corrected version

Source: Screener.in "Data Sheet" exports (FY2021 = opening balance sheet). Same definitions for all four: average = (open+close)/2; COGS = materials + purchases (0) + [− Screener "Change in Inventory"]; EBITDA = PBT + finance costs + depreciation − other income; EBIT = PBT + finance costs − other income; ROCE proxy = EBIT / avg(Equity + Borrowings), so it **excludes** other income; D/E proxy = Borrowings / Equity (leases not in Screener). All figures are read from the workbook's live formulas. "Approx." = estimate that assumes the one-off gains were untaxed.

FY2026 vs peer median (rank 1 = best of 4)

Metric	Hero	Bajaj	TVS	Eicher	Median	Hero rank	Note
Gross margin %	33.2	32.6	37.8	44.2	35.5	3	Eicher highest
EBITDA margin % (ex other income)	14.9	20.8	14.9	24.7	17.9	4	Other income excluded
Net profit margin %	12.1	17.1	5.4	23.6	14.6	3	Eicher other income = 31% of PBT
NPM ex one-off gains (approx.)	12.1	14.5	5.4	23.6	13.3	3	Bajaj ex ₹1,599 cr gains
ROE %	28.1	29.0	33.4	23.8	28.6	3	TVS = leverage (EM 5.74x)
ROE ex one-off gains (approx.)	28.1	24.7	33.4	23.8	26.4	2	Bajaj ~24.7% vs 29.0% headline
ROA %	18.6	16.4	5.8	18.6	17.5	2	Hero ≈ Eicher
ROCE (proxy) %	29.3	23.5	17.8	20.9	22.2	1	Ex other income; Hero incl. = 35.5%
Interest cover (EBIT) x	79	11	3	69	–	1	TVS ~3x
Asset turnover x	1.53	0.96	1.08	0.79	1.02	1	Hero highest
D/E (ex leases, proxy) x	0.04	0.58	3.43	0.02	–	n/a	TVS finance arm; Bajaj KTM
Other income % of PBT	17.6	19.1	-0.6	31.3	–	–	Treasury / JV share

Trend FY2022 → FY2026

Company	Revenue ₹ cr	NPM %	EBITDA %	ROE %	ROCE proxy %	D/E x	Comment
Hero MotoCorp	29,551 → 47,411	7.8 → 12.1	11.0 → 14.9	14.8 → 28.1	15.8 → 29.3	0.04 → 0.04	Margin + turnover compounding; low debt
Bajaj Auto	33,145 → 62,905	18.6 → 17.1	15.9 → 20.8	21.6 → 29.0	17.4 → 23.5	0.00 → 0.58	FY26 KTM consolidated (~4.4 mo) + ₹1,599 cr one-offs
TVS Motor	24,355 → 56,070	3.1 → 5.4	11.3 → 14.9	18.4 → 33.4	11.1 → 17.8	3.60 → 3.43	Finance arm inflates balance sheet and ROE
Eicher Motors	10,298 → 23,408	16.3 → 23.6	21.1 → 24.7	13.9 → 23.8	14.2 → 20.9	0.01 → 0.02	Best margins; 31% of PBT is other income

Known distortions (flagged in the workbook notes column)

- **Bajaj / KTM.** Borrowings ₹124 cr (FY23) → ₹22,713 cr (FY26) on Screener's figures (annual-report borrowings: FY24 ₹1,786 cr, FY25 ₹9,237 cr, FY26 ₹21,981 cr; FY23 nil). Interest ₹39.5 cr → ₹1,168.6 cr; inventory ₹2,077 cr → ₹6,294 cr in FY26; FY25 OCF −₹1,406 cr. Cause confirmed in the 19th AR (Note 46) and the 21-May-2025 press release: KTM entered restructuring in Nov-2024, Bajaj funded it through BAIH BV debt, acquired 100% of BAIH AG on 18-Nov-2025 and consolidated KTM from then (~4.4 months of FY26); €550m refinancing in Feb-2026. **Only FY26 is non-comparable**; FY24–FY25 were pre-consolidation (KTM an associate) but carry the funding debt and a ₹915.5 cr associate loss in FY25.
- **Bajaj one-off gains (FY26).** Profit includes ~₹1,599 cr pre-tax (₹953.1 cr remeasurement of the old 49.9% stake + ₹645.7 cr currency reserve moved from OCI), ~11.5% of PBT and separate from the ₹39.2 cr exceptional line. Excluding them (approx.): NPM 14.5% vs 17.1% headline; ROE ~24.7% vs 29.0%, below Hero's 28.1%. FY25 also had a ₹211.3 cr exceptional deferred tax.
- **TVS finance arm.** TVS Credit Services consolidated: borrowings ₹32,791 cr, total assets ₹56,146 cr, D/E 3.43x (3.60x in FY22, so broadly flat). ROA 5.8%, asset turnover 1.08x, interest cover ~3x; headline ROE 33.4% is leverage (equity multiplier 5.74x). Ex-finance-arm ratios need annual-report segment data.
- **Other income.** 17.6% (Hero), 19.1% (Bajaj), 31.3% (Eicher) of FY26 PBT; TVS −0.6%. For Eicher it likely includes the VECV JV profit share (not verified). EBITDA margin including other income: Hero 17.7%, Bajaj 25.1%, TVS 14.8%, Eicher 34.2%.
- **Consolidation scope.** Only Bajaj was researched. TVS bought 75% of Swiss E-Mobility Group (Jan-2022) and the other 25% (Jun-2023), a small effect; Hero and Eicher were not checked.

Verdict and what to monitor

- **Strongest = Hero MotoCorp.** (1) Best ROCE proxy 29.3% — already excluding other income (35.5% including it) — and interest cover 79x; (2) best asset turnover 1.53x; (3) near-zero debt (D/E 0.04x, cash-to-debt ~1.0x); (4) largest operating cash flow (₹8,315 cr) and clean margin expansion (gross 29.2% → 33.2%, NPM 7.8% → 12.1%). On ROE Hero ranks 2nd once Bajaj's one-offs are removed (28.1% vs TVS 33.4%, whose lead is leverage).
- **Limitations.** Liquidity ratios, payable days, cash conversion cycle, lease-inclusive debt and interest paid are not computed (not in Screener; need annual reports). ROCE/D-E are proxies. Other income cannot be split into treasury vs operating. Bajaj FY26 is not like-for-like and its one-off adjustment is approximate. The ROE-vs-Screener check is circular (same formula); verify against screener.in or the annual report.
- **Monitor next.** Bajaj FY27 full-year KTM P&L; and the €550m refinancing; Hero FY27 margins (GST cut vs steel costs); TVS finance-arm asset quality; Eicher VECV profit share and inventory days.

Likely interview questions (answers from these numbers)

Q1. Hero NPM 12.1% is far below Eicher 23.6%, yet ROE is similar (28.1% vs 23.8%)? Hero: 12.1% × 1.53 × 1.51 = 28.1%, driven by turnover and some leverage. Eicher: 23.6% × 0.79 × 1.28 = 23.8%, driven by margin.

Q2. TVS ROE is 33.4% but ROA only 5.8%? Equity multiplier 5.74x from the TVS Credit Services finance arm (₹32,791 cr borrowings, ₹56,146 cr assets). ROE is leverage, not operations; interest cover is ~3x.

Q3. Why did Bajaj's borrowings jump from ₹124 cr (FY23) to ₹22,713 cr (FY26)? Two steps. FY24→FY25 (~₹1.9k → ₹9.4k cr) was pre-consolidation: BAIH BV borrowed to fund KTM's restructuring while KTM was an associate. FY25→FY26: KTM consolidated from 18-Nov-2025 (its ~₹9.6k cr debt came in at acquisition) plus the ~€800m package (May 2025) and the €550m refinancing (Feb 2026). Financing, not operations.

Q4. Which margins are flattered by non-operating income? Other income is 31.3% of PBT for Eicher, 19.1% Bajaj, 17.6% Hero (FY26). EBITDA incl. other income: Eicher 34.2% vs 24.7% ex; Bajaj 25.1% vs 20.8%; Hero 17.7% vs 14.9%. Bajaj's NPM and ROE also carry ~₹1,599 cr of one-off gains.

Q5. How do you read Hero's ROCE of 29.3% with a ₹19,286 cr investment portfolio? The 29.3% already excludes other income, so portfolio income is not in the numerator, yet the portfolio is in the capital base (avg equity + borrowings ≈ ₹21.2k cr). It therefore understates operating ROCE; including other income gives 35.5%. Read it with ROA 18.6% and OCF.

Deliverables: TwoWheeler_Peer_Benchmark_FY2022-26_CORRECTED.xlsx (Raw_Data, Ratios, Peer_Comparison, Charts, Summary) + this PDF. Still missing (yellow cells): current assets/liabilities, trade payables, other current assets (Raw_Data rows 17–20), lease liabilities (row 23), interest paid (row 27). Corrections made vs the earlier version: Summary section 10.